

Inventory Management Guide

Synthetic sample knowledge-base document for local RAG testing

Overview

Methods for inventory control, reorder points, cycle counting, and stock classification.

Key Information

1. A reorder point is typically based on expected demand during lead time plus a safety buffer.
2. Cycle counting checks selected inventory regularly rather than relying only on a full annual count.
3. ABC analysis groups inventory by relative business importance or value.
4. Obsolete inventory can tie up working capital and should be identified through regular review.

RAG Test Notes

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